

The logo for GA GUARDIAN, featuring a stylized 'GA' in a light blue color followed by the word 'GUARDIAN' in a white, sans-serif font.

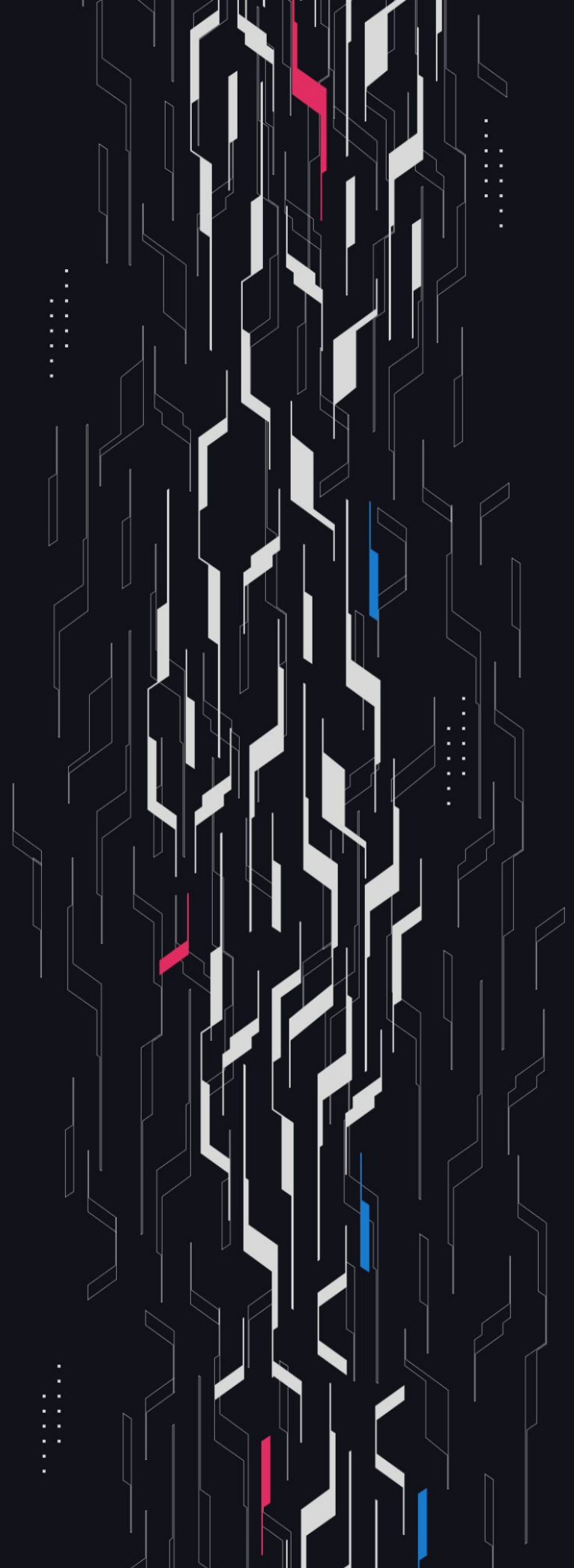
GA GUARDIAN

USDT0

**Hedera Deployment
Review**

Security Assessment

March 17th, 2026



Summary

Audit Firm Guardian

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Client Firm USDT0

Final Report Date March 17, 2026

Audit Summary

USDT0 engaged Guardian to review the security of their Hedera Deployment & Peer Connections. From the 18th through the 19th of February 2026, an auditor reviewed the source code in scope. All findings have been recorded in the following report.

Confidence Ranking

Given the lack of High and Critical issues detected during the main review, Guardian assigns a Confidence Ranking of 5 to the protocol. Guardian advises the protocol to consider periodic review with future changes. For detailed understanding of the Guardian Confidence Ranking, please see the rubric on the following page.

✓ Verify the authenticity of this report on Guardian's GitHub: <https://github.com/guardianaudits>

Guardian Confidence Ranking

Confidence Ranking	Definition and Recommendation	Risk Profile
5: Very High Confidence	Codebase is mature, clean, and secure. No High or Critical vulnerabilities were found. Follows modern best practices with high test coverage and thoughtful design. Recommendation: Code is highly secure at time of audit. Low risk of latent critical issues.	0 High/Critical findings and few Low/Medium severity findings.
4: High Confidence	Code is clean, well-structured, and adheres to best practices. Only 1 Significant issue was uncovered per week. Design patterns are sound, and test coverage is strong. Recommendation: Suitable for deployment after remediations; consider periodic review with changes.	0-1 High/Critical findings per engagement week and little to no Medium severity issues. Varied Low severity findings.
3: Moderate Confidence	Medium-severity and occasional High-severity issues found. Code is functional, but there are concerning areas (e.g., weak modularity, risky patterns). No critical design flaws, though some patterns could lead to issues in edge cases. Recommendation: Address issues thoroughly and consider a targeted follow-up audit depending on code changes.	1-2 High/Critical findings per engagement week.
2: Low Confidence	Code shows frequent emergence of Critical/High vulnerabilities. Audit revealed recurring anti-patterns, weak test coverage, or unclear logic. These characteristics suggest a high likelihood of latent issues. Recommendation: Post-audit development and a second audit cycle are strongly advised.	2-4 High/Critical findings per engagement week. Or additional High/Critical findings uncovered in remediation review which have not been resolved and confirmed by Guardian.
1: Very Low Confidence	Code has systemic issues. Multiple High/Critical findings (≥ 5/week), poor security posture, and design flaws that introduce compounding risks. Safety cannot be assured. Recommendation: Halt deployment and seek a comprehensive re-audit after substantial refactoring.	≥ 5 High/Critical findings and overall systemic flaws.

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Project Overview

Project Summary

Project Name	USDT0
Codebase	https://github.com/Everdawn-Labs/usdt0-ofc-contracts
Commit(s)	1fd75c0345b1f58535dc66bf34c61f835793040a

Audit Summary

Delivery Date	March 16, 2026
Audit Methodology	Static Analysis, Manual Review, Deployment Review

Vulnerability Summary

Vulnerability Level	Total	Pending	Declined	Acknowledged	Partially Resolved	Resolved
● Critical	0	0	0	0	0	0
● High	0	0	0	0	0	0
● Medium	0	0	0	0	0	0
● Low	1	0	0	1	0	0
● Info	3	0	0	2	0	1

Transactions Reviewed

Chain	Safe address	Nonce range
-----	-----	-----
Ethereum	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	127-132
Arbitrum	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	143-148
Polygon	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	98-103
Optimism	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	95-100
Ink	0xc95de55ce5e93f788A1Faab2A9c9503F51a5dAE2	158-163
Unichain	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	95-100
XLayer	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	79-84
Mantle	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	64-69
Conflux	0x789498616f3Bb9F8dF52288A9311247028872105	83-88
Berachain	0x425d1D17C33bdc0615eA18D1b18CCA7e14bEeb58	113-118
Flare	0x6ae078461f35c3cC216A71029F71ee7Bc4d9a10b	101-106
Corn	0x57d798f9d3B014bAC81A6B9fb3c18c0242A9411E	82-87
Sei	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	98-103
Rootstock	0x425d1D17C33bdc0615eA18D1b18CCA7e14bEeb58	61-66
Hyperliquid	0xB64A89AD247a2D691A728Bb6822a85EeDD7Fc541	127-132
Plasma	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	124-129
Monad	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	107-112
Morph	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	1-6
MegaETH	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	65-70
Stable	0x4DFF9b5b0143E642a3F63a5bcf2d1C328e600bf8	29-34

Audit Scope & Methodology

Repo: <https://github.com/Everdawn-Labs/usdt0-oft-contracts/pull/187>

RPC:

<https://tame-ultra-wind.hedera-mainnet.quiknode.pro/0ca5370c0c1b3ae40e1d77d5779ac1376ca0dbf0>

OFT Proxy: 0xe3119e23fC2371d1E6b01775ba312035425A53d6

OFT Implementation: 0xbD3c51411852A1E3aB545FD0bCaF22a3E32d553e

OFT ProxyAdmin: 0xDCee5eF6779567C27e69D57f6A143449372D1784

USDT0: 0x0009Ce723 (Hedera token 0.0.10282787)

Audit Scope & Methodology

Vulnerability Classifications

Severity	Impact: <i>High</i>	Impact: <i>Medium</i>	Impact: <i>Low</i>
Likelihood: <i>High</i>	● Critical	● High	● Medium
Likelihood: <i>Medium</i>	● High	● Medium	● Low
Likelihood: <i>Low</i>	● Medium	● Low	● Low

Impact

- High** Significant loss of assets in the protocol, significant harm to a group of users, or a core functionality of the protocol is disrupted.
- Medium** A small amount of funds can be lost or ancillary functionality of the protocol is affected. The user or protocol may experience reduced or delayed receipt of intended funds.
- Low** Can lead to any unexpected behavior with some of the protocol's functionalities that is notable but does not meet the criteria for a higher severity.

Likelihood

- High** The attack is possible with reasonable assumptions that mimic on-chain conditions, and the cost of the attack is relatively low compared to the amount gained or the disruption to the protocol.
- Medium** An attack vector that is only possible in uncommon cases or requires a large amount of capital to exercise relative to the amount gained or the disruption to the protocol.
- Low** Unlikely to ever occur in production.

Audit Scope & Methodology

Methodology

Guardian is the ultimate standard for Smart Contract security. An engagement with Guardian entails the following:

- Two competing teams of Guardian security researchers performing an independent review.
- A dedicated fuzzing engineer to construct a comprehensive stateful fuzzing suite for the project.
- An engagement lead security researcher coordinating the 2 teams, performing their own analysis, relaying findings to the client, and orchestrating the testing/verification efforts.

The auditing process pays special attention to the following considerations:

- Testing the smart contracts against both common and uncommon attack vectors.
- Assessing the codebase to ensure compliance with current best practices and industry standards.
- Ensuring contract logic meets the specifications and intentions of the client.
- Cross-referencing contract structure and implementation against similar smart contracts produced by industry leaders.
- Thorough line-by-line manual review of the entire codebase by industry experts.
Comprehensive written tests as a part of a code coverage testing suite.
- Contract fuzzing for increased attack resilience.

Findings & Resolutions

ID	Title	Category	Severity	Status
L-01	ProxyAdmin Safe Threshold Is 1 Of 5	Configuration	● Low	Acknowledged
I-01	Owner And Delegate Are An EOA	Configuration	● Info	Acknowledged
I-02	Monad-Hedera Enforced Options Reversed	Configuration	● Info	Resolved
I-03	Hedera Missing safeConfig Test Mismatch	Configuration	● Info	Acknowledged

L-01 | ProxyAdmin Safe Threshold Is 1 Of 5

Category	Severity	Location	Status
Configuration	● Low	Global	Acknowledged

Description

The DefaultProxyAdmin owner is a Safe-like wallet configured with five owners but a signing threshold of one. Because ProxyAdmin controls upgrades for the transparent proxy, a single compromised Safe owner key can authorize an implementation upgrade and fully change runtime behavior. The intended blast-radius reduction of multi-owner governance is not being realized under a one-signature threshold.

This setup lowers the protocol resistance to an admin key compromise and increases upgrade takeover risk.

Recommendation

Raise the Safe threshold to a multi-signature quorum aligned with production risk, such 3-of-5, and require a documented emergency upgrade process.

Resolution

USDT0 Team: Acknowledged.

I-01 | Owner And Delegate Are An EOA

Category	Severity	Location	Status
Configuration	● Info	HTSConnectorUpgradeable.sol	Acknowledged

Description

The deployed HTSConnectorUpgradeable instance sets both owner() and the LayerZero endpoint delegate to the same externally owned account. This account can execute privileged owner flows such as mintTokenPublic, and can also control LayerZero configuration paths via setPeer, setEnforcedOptions, setDelegate, setMsgInspector, and setPreCrime. Concentrating these powers into one hot operational identity creates a single point of catastrophic failure where one key compromise can affect token mint authority and cross-chain routing controls at the same time. If this key is compromised, an attacker can alter messaging configuration and execute privileged token actions without needing additional approvals.

Recommendation

Split privileges and move both roles to hardened governance. Set the owner and the endpoint delegate to the Safe wallet.

Resolution

USDT0 Team: Acknowledged.

I-02 | Monad-Hedera Enforced Options Reversed

Category	Severity	Location	Status
Configuration	● Info	layerzero-prod.config.ts	Resolved

Description

The LayerZero connection entry for the Monad and Hedera pair applies `MONAD_ENFORCED_OPTIONS` on the Monad to Hedera direction and `EVM_ENFORCED_OPTIONS` on the Hedera to Monad direction. For asymmetric chains, enforced options are expected to match the destination chain requirements, and this directionality appears inverted relative to the rest of the configuration style. If left unchanged, one direction can receive an incorrect gas/options profile and produce avoidable delivery failures or retries during cross-chain messaging.

Recommendation

Swap the enforced-options tuple so the Monad to Hedera direction uses `EVM_ENFORCED_OPTIONS` and the Hedera to Monad direction uses `MONAD_ENFORCED_OPTIONS`. Add a configuration regression test that asserts destination-specific option selection for asymmetric chain pairs to prevent this class of directional inversion.

Resolution

USDT0 Team: Resolved.

I-03 | Hedera Missing safeConfig Test Mismatch

Category	Severity	Location	Status
Configuration	● Info	layerzero-prod.config.ts	Acknowledged

Description

Hedera is included in the production LayerZero contract set and is treated as a first class endpoint for ownership and delegate configuration, but the Hardhat network record for Hedera does not carry a `safeConfig` object. In parallel, the test suite computes `networksWithSafeConfig` by filtering only networks that have `safeConfig`, then asserts that every endpoint id returned by the production LayerZero config is present in that filtered set. This means the policy encoded by the test and the policy encoded by the network metadata are not aligned for Hedera.

```
// Hedera EID included in contracts
contracts.push({ contract: { eid: EndpointId.HEDERA_V2_MAINNET } });

// Hedera network (no safeConfig)
'hadera-mainnet': { eid: EndpointId.HEDERA_V2_MAINNET };

// Test requires all contract EIDs to have safeConfig
const safeConfigEids = Object.values(hardhatConfig.networks)
  .filter(c => c.safeConfig)
  .map(c => c.eid);

contracts.forEach(c =>
  expect(safeConfigEids).to.include(c.contract.eid)
```

Because of this, the current test overstates an invariant that is not actually true. The practical impact is a noisy CI behavior and reduced trust in deployment guardrails, because engineers may disable or ignore a test that should otherwise be authoritative.

Recommendation

Align policy in one place and enforce it consistently, then encode that policy directly in test logic. One valid fix path is to simply add a `safeConfig` for Hedera.

Resolution

USDT0 Team: Acknowledged.

Disclaimer

This report is not, nor should be considered, an “endorsement” or “disapproval” of any particular project or team. This report is not, nor should be considered, an indication of the economics or value of any “product” or “asset” created by any team or project that contracts Guardian to perform a security assessment. This report does not provide any warranty or guarantee regarding the absolute bug-free nature of the technology analyzed, nor do they provide any indication of the technologies proprietors, business, business model or legal compliance.

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Notice that smart contracts deployed on the blockchain are not resistant from internal/external exploit. Notice that active smart contract owner privileges constitute an elevated impact to any smart contract’s safety and security. Therefore, Guardian does not guarantee the explicit security of the audited smart contract, regardless of the verdict.

About Guardian

Founded in 2022 by DeFi experts, Guardian is a leading audit firm in the DeFi smart contract space. With every audit report, Guardian upholds best-in-class security while achieving our mission to relentlessly secure DeFi.

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